

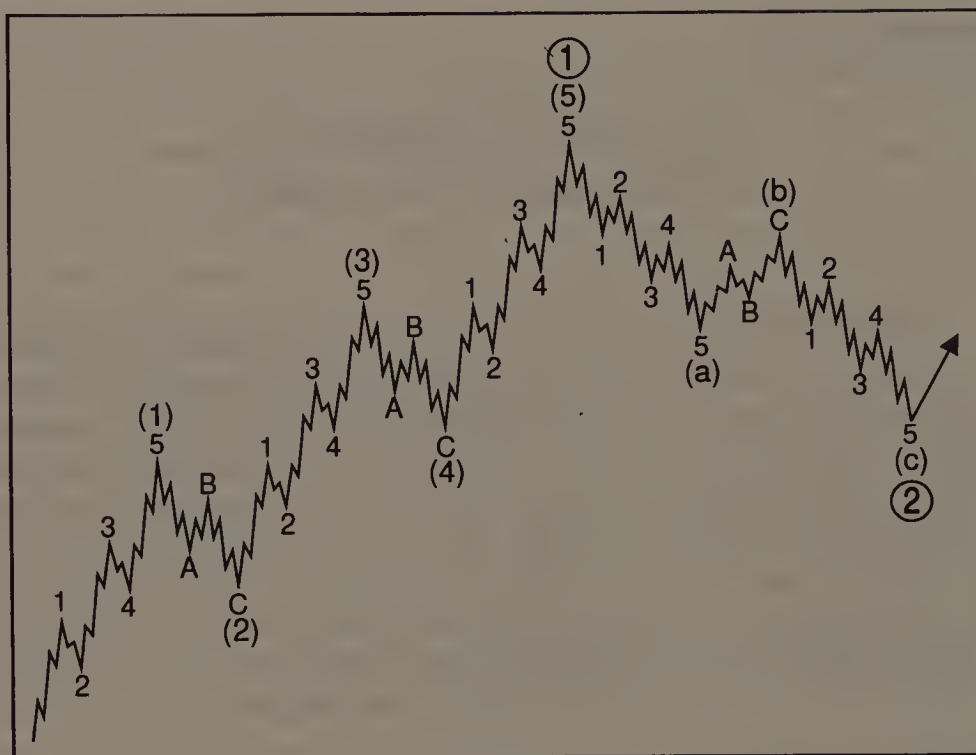


Figure A-1

Waves 3, 4 and 5 complete a larger impulsive sequence, labeled wave (1). Exactly as with wave 1, the impulsive structure of wave (1) tells us that the movement at the *next* larger degree is upward and signals the start of a three-wave corrective downtrend of the same degree as wave (1). This correction, wave (2), is followed by waves (3), (4) and (5) to complete an impulsive sequence of the next larger degree, labeled wave ①. Once again, a three-wave correction of the same degree occurs, labeled wave ②. Note that at each “wave one” peak, the implications are the same regardless of the size of the wave. Waves come in degrees, the smaller being the building blocks of the larger. A list of degrees and notations precedes Chapter 2.

Within a corrective wave, waves A and C may be smaller-degree impulsive waves, consisting of five subwaves. This is because they move in the same direction as the next larger trend, i.e., waves (2) and (4) in the illustration. Wave B, however, is always a corrective wave, consisting of three subwaves, because it moves *against* the larger downtrend.

Within impulsive waves, one of the odd-numbered waves (usually wave three) is typically longer than the other two. Most